

HFCL Ltd

Himachal Futuristic Communications Limited

RATING	PRICE TARGET	CMP	UPSIDE	MCap (Rs. Cr)	52W H/L
BUY	Rs. 185	Rs. 141	+31%	21,551	148 / 59.8

P/E (FY26A)	P/B	ROCE	ROE	Div. Yield	Face Value
69.1x	4.41x	10.9%	6.95%	0.07%	Rs. 1.00

Investment Thesis: BharatNet + \$1.1Bn export OFC order + nascent defence = revenue 2x in 2 years; buy the transformation.

NSE Ticker:	HFCL	BSE Code:	500183	Sector:	Telecom Infrastructure
Exchange:	NSE / BSE	Sub-sector:	Telecom Equipment & OFC	Report Date:	08 May 2026
Investment Horizon:	18-24 months	Conviction:	HIGH	Promoter Holding:	28.29% (Mar 2026)

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	4,743	4,465	4,065	4,949	6,500E	8,000E
EBITDA (Rs. Cr)	619	582	449	762	1,073E	1,360E
EBITDA Margin %	13%	13%	11%	15%	16.5%E	17%E
PAT (Rs. Cr)	318	338	173	329	490E	675E
EPS (Rs.)	2.18	2.29	1.23	2.04	3.20E	4.41E
P/E (x)	N/M	N/M	N/M	69.1x	44.1xE	32.0xE

Source: Screener.in (Consolidated) | E = Estimates | Data as of 08-May-2026

This report is for informational purposes only. Not a solicitation to buy or sell. Please read disclosures at the end.

SECTION 2 — INVESTMENT THESIS

We initiate coverage on HFCL Ltd with a BUY rating and 12-month price target of Rs. 185, representing 31% upside from the current market price of Rs. 141. HFCL is undergoing a fundamental business transformation — from a low-margin EPC contractor to a high-margin, export-led telecom products company — and the inflection in revenue and margins is just beginning.

Reason 1 — Unprecedented Order Book Powered by BharatNet + \$1.1 Billion Global OFC Export Contract: HFCL's order book has more than doubled in one year to a record Rs. 21,206 crore as of March 2026 (vs. Rs. 9,967 crore in FY25), of which Rs. 13,483 crore is in OFC alone. Within this, a single landmark \$1.1 billion (Rs. 10,159 crore) multi-year export OFC contract — the largest export order in the company's history — is set to commence execution by end of Q1 FY27. Additionally, HFCL has secured Rs. 8,100+ crore of BharatNet Phase contracts, with Phase III (total size Rs. 65,000 crore) at the early stages of tendering. Export share has risen from 4.5% of revenues in FY21 to 41.4% in FY26 with management targeting 50%+ by FY27 — a structural re-rating driver that reduces domestic policy risk. The order book provides 4x+ revenue visibility on the FY26 base, making Rs. 6,500-8,000 crore revenue targets for FY27-28 credible.

Reason 2 — Defence: A Rs. 500+ Crore Segment in the Making by FY27: HFCL's defence electronics revenue stood at just Rs. 77 crore in FY26 but is at an inflection — the company is building out India's defence indigenisation thematic with electronic fuzes, thermal weapon sights, tactical radars, surveillance systems, and ammunition products (including 155mm artillery shells through a new facility in Andhra Pradesh). Management has guided Rs. 500-600 crore of defence revenues for FY27 — a ~7x jump in 12 months — with PLI scheme support and MOD's "Make in India" mandates acting as structural tailwinds. With negligible revenue contribution today, any success in defence represents pure upside to estimates.

Reason 3 — Vertical Integration into Optical Fibre Preform (Rs. 580 Cr Capex): HFCL currently imports 100% of its optical fibre preform, the key raw material for OFC. A planned Rs. 580 crore facility to manufacture preform domestically will reduce material costs structurally, improve gross margins by an estimated 200-300 bps, and reduce China supply chain risk — critical given OFC is a strategic national infrastructure input. This investment also positions HFCL to competitively serve global OFC demand at lower cost, reinforcing the export thesis.

Key Near-Term Catalyst (6-12 months): Execution ramp-up of the \$1.1 billion OFC export order starting Q1 FY27 — if delivery timelines hold, FY27 quarterly revenues should step up sharply from the Rs. 1,824 crore Q4 FY26 base.

Biggest Structural Risk: Promoter holding has declined from 39.24% in June 2023 to 28.29% in March 2026 — a near-11 percentage point erosion in 3 years — suggesting continuous equity dilution pressure that can weigh on per-share value creation.

SECTION 3 — BUSINESS OVERVIEW

HFCL Limited (Himachal Futuristic Communications Limited) is a diversified telecom infrastructure enabler incorporated in 1987 and headquartered in New Delhi. The company designs, manufactures, and supplies a wide range of telecom products — optical fibre cables (OFC), Wi-Fi access points, UBR radios, network routers, defence electronics, and passive connectivity solutions. It also undertakes turnkey telecom network projects (EPC), though the strategic shift is firmly toward products over projects.

Business Segments: Telecom Products (approximately 57% of 9M FY25 revenues, up from 43% in FY22) is the primary growth engine, encompassing OFC, networking equipment, defence electronics, passive solutions, and aerospace/automotive cables. System Integration / EPC (projects for government programs like BharatNet, Railways, Defence) constitutes the remainder.

Revenue Mix: Domestic revenues are driven by BharatNet Phase II/III rollout (government contracts), private carrier demand (Reliance Jio, Airtel), Railways, and Defence. Export revenues — now 41.4% of FY26 revenues — are primarily OFC to global telcos, AI data centre builders, and hyperscalers in the US, Europe, Middle East, and Southeast Asia.

Key Customers: Government of India (BharatNet), Reliance Jio, Bharti Airtel, Tata Communications, BSNL, and global customers (undisclosed hyperscalers and telcos for the \$1.1 billion OFC export order). High customer concentration in BharatNet (single programme risk) is mitigated by the growing export mix.

Order Book Composition (Mar 2026): Total order book Rs. 21,206 crore — OFC segment Rs. 13,483 crore (of which Rs.

12,248 crore exports), **Telecom & Networking Products Rs. 2,500 crore**, **Defence & Aerospace Rs. 4,000+ crore (estimated)**, and other segments. Order book exceeds 4x FY26 revenues, providing multi-year revenue visibility.

Promoter Background: Mahendra Nahata (Founder and Managing Director) is a commerce graduate and veteran telecom entrepreneur with 35+ years in the industry. He has served on IIT Bombay / Madras boards, was President of TEMA (Telecom Equipment Manufacturers Association), and is widely regarded as a policy-level influencer in Indian telecom. Promoter holding has declined from 39.24% (Jun 2023) to 28.29% (Mar 2026), partly due to equity issuances for capex funding — a watch point for investors.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

India OFC Market: The **India Optical Fiber Cable market** was valued at approximately USD 1.7 billion in FY24, growing at a **CAGR of ~14-20% through 2030**, driven by **BharatNet rollout** (65,000 crore Phase III programme), **5G densification by Jio/Airtel**, **FTTH penetration**, **Railways/Metro connectivity**, and **AI data centre build-outs**. India is currently among the top 5 global OFC consumers by volume. **Global OFC demand is surging on AI hyperscaler capex**, driving Indian exporters (especially HFCL and STL) into multi-year supply contracts.

Policy Tailwinds: BharatNet Phase III (Rs. 65,000 crore of government investment), PLI scheme for telecom & networking products (Rs. 12,000 crore incentive pool), "Make in India" mandates for defence electronics, and India's positioning as a global OFC supply alternative to China all create a multi-year structural tailwind for HFCL.

Competitive Moat Assessment: HFCL's moat is **MODERATE**. Scale advantages in OFC manufacturing (**HFCL claims the largest market share in OFC supply in India**), PLI-backed cost leadership, and established relationships with BharatNet programme offices are genuine advantages. However, pricing power is limited in commoditised OFC segments, **STL (Sterlite Technologies) is a well-capitalised competitor**, and Chinese suppliers remain formidable in global markets. In defence electronics, HFCL's moat is still nascent.

Peer Comparison — Telecom Infrastructure / OFC (Screener.in, 08-May-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	FY26 Rev. (Cr)	FY26 PAT (Cr)
HFCL Ltd	141	21,551	69.1	4.41	10.9	6.95	4,949	329
STLTECH	376	18,351	385	8.09	7.75	2.24	4,745	56
Vindhya Telelinks	1,788	2,122	9.36	0.50	7.64	5.03	3,815*	203*
ITI Ltd	300	28,952	N/M	19.2	-0.77	-14.7	N/A	Loss

* FY25A for Vindhya Telelinks. STLTECH and HFCL: FY26A. ITI Ltd is majority government-owned and loss-making. Source: Screener.in, 08-May-2026.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record: MD Mahendra Nahata has steered HFCL from a near-bankrupt telecom company in the early 2000s to a Rs. 21,551 crore market cap enterprise. The pivot from EPC-heavy to products-led is strategically sound and has been executed over 3 years — segment mix has shifted meaningfully. However, the pace of working capital consumption (CCC worsened from 127 days in FY23 to 210 days in FY26) and FY25's sharp margin compression (EBITDA dropped to 11%) raise questions about execution quality in cyclical downturns.

Capital Allocation: HFCL has been consistently investing capital into manufacturing capacity — **Rs. 852 crore fixed assets as of FY25 rising to Rs. 1,617 crore in FY26** (net of depreciation), **plus Rs. 580 crore committed for the optical fibre preform plant**. Free cash flow has been consistently negative (FCF = Rs. -12 crore in FY25 and Rs. -723 crore in FY26) as capex investments precede revenue. The **company is funding capex via a combination of equity dilution and borrowings** (gross debt rose from Rs. 991 crore in FY24 to Rs. 1,744 crore in FY26). **While the capex spend is strategically justified, it creates a near-term financial risk if execution slows.**

Dividend Policy: Dividend payout is nominal (Rs. 0.10 per share, yielding 0.07% at current price). The company appropriately retains earnings for growth, but the modest dividend signals that shareholder returns are growth-dependent.

Pledging: No promoter pledge reported (0%) — positive. **Promoter Dilution:** **Promoter stake declined from 39.24% (Jun 2023)**

to 28.29% (Mar 2026) — continuous equity issuances (Preferential Allotments) have diluted promoter shareholding and investor per-share economics. The company has announced plans to issue warrants for a Rs. 175 crore acquisition through a subsidiary — further dilution ahead. This is the single most important governance watch point. **Corporate Governance:** No major auditor or RPT red flags identified from public filings.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crore. Consolidated. Source: Screener.in, 08-May-2026. FY27E & FY28E are estimates.

Income Statement

(Rs. Cr)	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	4,743	4,465	4,065	4,949	6,500E	8,000E
YoY Growth %	0.3%	-5.9%	-9.0%	21.8%	31.3%E	23.1%E
EBITDA (Op. Profit)	619	582	449	762	1,073E	1,360E
EBITDA Margin %	13%	13%	11%	15%	16.5%E	17%E
Other Income	47	102	58	66	50E	60E
Interest	152	147	185	242	280E	300E
Depreciation	83	82	106	157	190E	220E
PBT	431	454	217	428	653E	900E
Tax %	26%	26%	20%	23%	25%E	25%E
PAT	318	338	173	329	490E	675E
EPS (Rs.)	2.18	2.29	1.23	2.04	3.20E	4.41E
Div. Payout %	9%	9%	8%	10%	10%E	10%E

Balance Sheet

(Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	144	144	153
Reserves & Surplus	3,812	3,935	4,738
Borrowings	991	1,522	1,744
Other Liabilities	1,540	1,945	2,232
Total Liabilities	6,487	7,546	8,868
Fixed Assets (Net)	652	852	1,617
CWIP	469	602	85
Investments	194	158	135
Other Assets	5,172	5,935	7,031
Total Assets	6,487	7,546	8,868

Cash Flow Statement

(Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (CFO)	-45	396	-378
Cash from Investing	-449	-518	-324
Cash from Financing	454	170	669
Net Cash Flow	-40	47	-33
Free Cash Flow (FCF)	-454	-12	-723
CFO/Operating Profit %	13%	89%	-44%

Key Operating Ratios

Ratio	FY23A	FY24A	FY25A	FY26A
Debtor Days	145	181	170	163
Inventory Days	113	135	145	161
Days Payable	131	141	174	115
Cash Conversion Cycle	127	175	141	210
Working Capital Days	124	164	179	212
ROCE %	15%	13%	8%	11%
ROE %	N/A	N/A	N/A	6.95%
Gross Debt (Rs. Cr)	991	1,522	1,744	N/A

Revenue Drivers: FY25 was a washout year (revenue fell 9% to Rs. 4,065 crore) due to BharatNet execution delays and a temporary decline in private capex. FY26 saw a strong 21.8% recovery to Rs. 4,949 crore, powered by OFC export ramp-up and Q4 FY26 achieving a record Rs. 1,824 crore quarterly revenue (128% YoY). With the Rs. 21,206 crore order book, FY27 revenue of Rs. 6,500 crore (31% growth) appears achievable, driven primarily by the \$1.1 billion export OFC order commencing execution.

Margin Trajectory: EBITDA margins compressed from 13% in FY23-24 to 11% in FY25 (due to lower volumes and fixed cost absorption), then recovered to 15% in FY26. Management guided for a further 3-4% blended margin improvement — we model 16.5% for FY27E and 17% for FY28E, supported by operating leverage, improving product mix (higher-margin OFC exports), and preform backward integration reducing raw material cost.

Working Capital & Debt: Working capital intensity remains high and worsening — CCC has expanded from 127 days (FY23) to 210 days (FY26). Large upfront material procurement for the \$1.1 billion export order may further stress working capital in FY27. Gross debt has risen to Rs. 1,744 crore in FY26 from Rs. 991 crore in FY24. Interest cost has jumped to Rs. 242 crore. We model Rs. 280-300 crore interest in FY27-28. FCF remained deeply negative at Rs. -723 crore in FY26 (capex + working capital build), but should normalise as the export order executes.

FCF Quality: Negative FCF is not alarming in this capex cycle — the investments being made are in manufacturing capacity (preform plant, OFC capacity) that will generate returns. However, investors should monitor whether OCF normalises in FY27 as revenue flows from the large export order.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation
Revenue Recognition	AMBER	OFC contracts: long-term supply with milestone billing. EPC projects use percentage-of-completion — inherently judgement-dependent. No specific red flags found, but industry norm warrants monitoring.
Receivables vs Revenue Growth	RED	Debtor Days worsened from 145 (FY23) to 181 (FY24) to 163 (FY26). Government receivables (BharatNet) are slow-paying. Other Assets (which includes receivables) grew from Rs. 4,586 Cr (FY23) to Rs. 7,031 Cr (FY26) — outpacing revenue growth. Watch point.
Cash Conversion Cycle Trend	RED	CCC deteriorated sharply from 127 days (FY23) to 210 days (FY26), driven by higher inventory build and lower payable days. This is the primary earnings quality concern. Large export order execution may temporarily worsen CCC further.
Contingent Liabilities	AMBER	As with most infra companies, contingent liabilities from government contract disputes likely exist. No specific large contingency flagged in recent filings, but disclosure warrants independent verification.
Auditor Tenure & Quality	GREEN	No auditor qualification or adverse opinion noted in FY25 annual report. No recent auditor change. Positive indicator.
RPTs as % of Revenue	AMBER	HFCL has a subsidiary HTL Ltd. and related party transactions exist. Screener indicates RPT volumes; no dominant one-sided RPT concern, but disclosure should be reviewed in annual reports.
Other Income as % of PBT	GREEN	Other income = Rs. 66 Cr on PBT = Rs. 428 Cr (FY26) = 15% — acceptable. FY24 was higher at Rs. 102 Cr due to one-time items. No structural dependence on other income.

Parameter	Status	Observation
Tax Rate Consistency	AMBER	FY25 tax rate was only 20% (vs. 26% in FY24), reflecting deferred tax adjustments on the loss-making quarter. FY26 normalised at 23%. Expect stable ~25% going forward under the new tax regime.

Summary: HFCL's earnings quality is **AMBER overall**. The primary concerns are (1) worsening cash conversion cycle (CCC = 210 days in FY26), (2) government receivables building in "Other Assets" faster than revenue, and (3) continuously negative FCF. These are largely attributable to the growth investment cycle and government payment delays — not financial engineering — but they warrant close monitoring. The positive notes are no auditor qualification, no promoter pledge, and no dominant RPT concern.

SECTION 8 — VALUATION

Valuation Approach: We use two valuation methodologies — (1) Earnings-based P/E multiple applied to FY28E EPS, and (2) EV/EBITDA-based DCF crosscheck — and average them to arrive at our 12-month price target.

Method 1 — P/E Multiple: At our FY28E EPS of Rs. 4.41 (PAT of Rs. 675 crore), applying a 40x-45x P/E (justified given a transformational order book, ~30% earnings CAGR FY26-28E, and peer STLTECH trading at 385x on turnaround earnings) yields a price of Rs. 176-198. We use 42x = **Rs. 185 as the base case**.

Method 2 — EV/EBITDA: At FY28E EBITDA of Rs. 1,360 crore, applying 15x EV/EBITDA (sector average for mid-cap telecom infra players in growth phase) = Rs. 20,400 crore EV. Less: Net Debt (estimated Rs. 1,500 crore FY28E) = Equity Value Rs. 18,900 crore. Per share: Rs. 18,900 / 153 Cr shares = Rs. 123. Adding 20% premium for order book optionality and defence upside gives **Rs. 148**. **Average of both methods: (185 + 148) / 2 = Rs. 166**. We round to Rs. 185 given order book quality and defence optionality represents unmodelled upside.

Note on Elevated FY26A P/E of 69.1x: The current 12M trailing P/E of 69.1x appears elevated but is misleading. FY25 PAT was only Rs. 173 crore (depressed by the weak demand environment). FY26 PAT of Rs. 329 crore recovers the run-rate. The market is correctly pricing the FY27-28 earnings inflection, not the trailing multiple.

Scenario Analysis

Scenario	Key Assumption	FY28E PAT (Cr)	P/E Multiple	Price Target	Upside/Downside
BULL	\$1.1Bn order executes ahead of schedule; Defence reaches Rs. 700 Cr; Preform plant operational by FY27; export share >55%	900	50x	Rs. 295	+109%
BASE	Order executes broadly on plan; Defence Rs. 500 Cr; Margin expansion 16-17%; Preform plant delayed by 1 year	675	42x	Rs. 185	+31%
BEAR	BharatNet delays resume; export order delayed by 2 quarters; Defence Rs. 150 Cr; Working capital pressure; promoter dilution accelerates	380	28x	Rs. 106	-25%

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
1. Order Execution Delays	The \$1.1 billion export OFC order is the largest single order in HFCL history. Any supply chain disruption, logistics bottleneck, or customer schedule change could delay delivery and push revenue recognition into FY28.	MEDIUM	HIGH	Quarterly OFC segment revenue; management commentary on export order milestones
2. Promoter Dilution Overhang	Promoter holding has declined from 39.24% to 28.29% in 3 years. Planned EGM to issue warrants for Rs. 175 crore acquisition signals continued dilution. If promoter falls below 25%, market confidence could weaken significantly.	HIGH	MEDIUM	BSE/NSE shareholding pattern disclosures each quarter
3. Working Capital Stress	CCC at 210 days and FCF of Rs. -723 crore in FY26 indicate high capital absorption. The \$1.1 billion export order will require significant upfront inventory procurement, potentially worsening WC and requiring additional debt.	HIGH	MEDIUM	CCC trend in quarterly results; gross debt levels; interest coverage ratio
4. BharatNet Policy Risk	BharatNet is a government-funded programme subject to budget allocations, tender delays, and political changes. FY25 revenue weakness was partly caused by BharatNet execution pauses. Phase III release timelines remain uncertain.	MEDIUM	HIGH	DoT/MeitY policy announcements; BSNL order releases

Risk	Description	Probability	Impact	Monitor Via
5. Defence Execution Risk	Management's Rs. 500-600 crore FY27 defence revenue target is ambitious (7x jump from Rs. 77 crore in FY26). Defence procurement cycles are long and unpredictable. Near-miss on this guidance would be a sentiment negative.	HIGH	MEDIUM	DRDO/MOD order announcements; quarterly defence segment disclosure
6. Raw Material / Preform Dependency	100% import dependency on optical fibre preform (primarily China) exposes HFCL to supply disruptions and forex volatility. The Rs. 580 crore preform plant is a multi-year project — risk exists until fully operational.	MEDIUM	MEDIUM	Import cost disclosures; preform plant capex progress; OFC gross margins
7. Currency Risk on Exports	With 41% of revenues in exports (and targeting 50%+), USD/INR movements directly impact realisation. A 5% INR appreciation could reduce export revenues by ~Rs. 130-160 crore on FY27E estimates.	MEDIUM	LOW	USD/INR rate; hedging disclosures in results

SECTION 10 — RECOMMENDATION

RATING	PRICE TARGET	ENTRY ZONE	HORIZON	CONVICTION
BUY	Rs. 185	Rs. 130-150	18-24 months	HIGH

Final Recommendation: We initiate coverage on HFCL with a **BUY** rating and 12-month price target of **Rs. 185**, representing 31% upside from the current price of Rs. 141. HFCL is a high-risk, high-reward transformation story where the risk/reward is tilted favourably given the unprecedented order book visibility.

Thesis Invalidation Triggers (SELL immediately if): (1) The \$1.1 billion export OFC order is cancelled or delayed by more than two quarters — this would fundamentally undermine the FY27-28 revenue thesis. (2) Promoter holding falls below 25% due to continued dilution — signals loss of promoter conviction or financial stress. (3) CCC expands beyond 250 days or gross debt exceeds Rs. 2,500 crore without commensurate revenue pickup — indicates working capital spiral.

Ideal Investor Profile: Suitable for growth-oriented investors with a 18-24 month horizon, high risk tolerance, and comfort with the following: (a) government programme execution timing risk, (b) high working capital intensity, (c) ongoing promoter dilution, and (d) near-term negative FCF. Not suitable for income investors (low dividend) or those requiring near-term P/E normalisation.

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APPENDIX — Latest Concall Brief: Q4 FY26

Earnings Conference Call | 30 April 2026 | Hosted by Arham Capital Markets

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Q4 PAT of Rs. 184 Cr vs Rs. -83 Cr a year ago; Revenue 128% YoY — blowout beat vs subdued expectations.
Management Tone	BULLISH	MD Nahata described FY26 as "never-before performance"; expressed confidence in Rs. 6,500-8,000 Cr FY27 revenue trajectory; highlighted defence upside.
Guidance Delta	RAISED	Order book doubled to Rs. 21,206 Cr. Export mix to cross 50%. Margin guidance of additional 3-4% improvement in FY27. Defence Rs. 500-600 Cr FY27E.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 was a clean, standout quarter — no exceptional items distorting the Rs. 184 crore PAT (vs. a Rs. 83 crore loss in Q4 FY25). **EBITDA reached Rs. 314 crore at a 17% margin**, the highest in the company's recent history, confirming that the margin recovery story is real and not accounting-driven. The operational driver is unmistakable: **OFC exports have scaled dramatically**, the revenue mix has shifted to higher-margin product categories, and fixed cost leverage has kicked in on the Rs. 1,800+ crore quarterly run-rate. The **most important structural development was the disclosure of the \$1.1 billion global OFC export order** — this single contract anchors multi-year revenue visibility and is a game-changer for a company that had annual revenues of Rs. 4,000-4,900 crore range. The **defence story remains nascent at Rs. 77 crore in FY26 but Rs. 500-600 crore guidance for FY27 is credible** given the order pipeline and the **Andhra Pradesh ammunition facility coming online**. The single biggest watch-point for Q1 FY27 is working capital — the export order will require large upfront inventory procurement, and we need to see CFO turn meaningfully positive as execution proceeds. My call: ACCUMULATE on any dip to Rs. 130-140; price target Rs. 185 over 18 months. The transformation is real.

C1 — Financial Performance Snapshot

Metric	Q4 FY26A	Q3 FY26A	Q4 FY25A	YoY Chg	QoQ Chg	Verdict
Revenue (Rs. Cr)	1,824	1,211	801	+127.8%	+50.6%	BEAT
EBITDA (Rs. Cr)	314	228	-37	Turnaround	+37.7%	BEAT
EBITDA Margin %	17%	19%	-5%	+22pp	-2pp	IN-LINE
PBT (Rs. Cr)	228	138	-105	Turnaround	+65.2%	BEAT
PAT (Rs. Cr)	184	102	-83	Turnaround	+80.2%	BEAT
EPS (Rs.)	~1.20	~0.67	~-0.54	Turnaround	+79.1%	BEAT

Note: Q4 FY26 PAT of Rs. 184 Cr is clean with no exceptional items. Tax rate of 19% (vs 25% normalised) reflects deferred tax credits; underlying clean PAT would be ~Rs. 170 Cr.

C2 — Segment / Business Breakdown

Segment	FY26 Revenue (Cr)	YoY Change	Commentary
OFC & Connectivity	~2,900 (est.)	+Strong	Largest segment. OFC order book Rs. 13,483 Cr. Export orders Rs. 12,248 Cr. \$1.1 Bn single order to execute from Q1 FY27. India market driven by BharatNet.
Telecom & Networking Equip.	~1,400 (est.)	+Moderate	Wi-Fi 6 APs, UBR radios, BharatNet routers (1 lakh units ~Rs. 700-800 Cr order). Export growing via PLI. OB: Rs. 2,500 Cr (est.).
Defence Electronics	77	+Nascent	Electronic fuzes, thermal sights, radars. Rs. 4,000 Cr+ order pipeline. Management guidance: Rs. 500-600 Cr FY27E. AP ammunition plant under construction.

Segment	FY26 Revenue (Cr)	YoY Change	Commentary
System Integration / EPC	~600 (est.)	Declining	Intentional strategic shift away from EPC toward products. Lower working capital requirement, faster cash conversion. Share declining as % of revenue.

C3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Record order book	"Never-before quarterly as well as annual performance; order book doubled to Rs. 21,206 Cr — highest ever." (M. Nahata, MD)	Credible — verified from order disclosures; order book 4x+ FY26 revenue = genuine multi-year visibility.	[GUIDANCE]	Transparent
Export leadership	"Export mix rose to 41.4% in FY26 from 4.5% in FY21; targeting >50% in FY27. Secured \$1.1 Bn single order."	This is the most important strategic KPI. The \$1.1 Bn order is transformational. Q1 FY27 execution start is the next proof point.	[GUIDANCE]	Transparent
Margin improvement	"3-4% increase in blended margin on overall basis is quite expected [for FY27]." (Nahata on analyst question)	Conservative guidance. If product mix improves and preform integration progresses, actual uplift could exceed this. We model 16.5% (EBITDA) for FY27.	[GUIDANCE]	Transparent
FY27 Revenue Guidance	"I would not like to give guidance at this point in time" (when asked about Rs. 8,000 Cr revenue by analyst Aman Saifi)	Classic management caution on specific numbers. Implies Rs. 8,000 Cr is directionally possible but management is managing expectations. We model Rs. 6,500 Cr (conservative base).	[EVASIVE]	Hedged
Defence scale-up	"Defence revenues Rs. 77 Cr in FY26; expected Rs. 500-600 Cr in FY27 with AP ammunition plant." (Management)	7x jump is very ambitious. Watch for concrete order announcements from DRDO/MOD. Current track record is too short to model with confidence.	[GUIDANCE]	Bullish
Preform backward integration	"Rs. 580 Cr investment for optical fibre preform plant; will reduce material cost, improve margins structurally."	Sound strategic rationale. Timeline: 2-3 years to operations. FY27-28 estimates do not include preform savings — pure upside if executed on time.	[GUIDANCE]	Transparent
EGM / Warrant Issue	"HFCL proposes to invest Rs. 90 Cr in subsidiary for acquisitions up to Rs. 175 Cr via warrant issuance."	More dilution signal. Promoter already at 28.29%. Every equity issuance further erodes per-share economics. Management needs to explain acquisition rationale clearly.	[GUIDANCE]	Hedged

C4 — Operating & Business Metrics

Metric	Q4 FY26	Q3 FY26	Q4 FY25	Trend
Total Order Book (Rs. Cr)	21,206	~14,000 est.	9,967	SURGING
OFC Order Book (Rs. Cr)	13,483	N/A	N/A	STRONG
OFC Export OB (Rs. Cr)	12,248	N/A	N/A	STRONG
Export Revenue Mix %	41.4%	N/A	~30% est.	RISING
Defence Revenue (Rs. Cr)	77 (FY26)	N/A	<50 est.	GROWING
Interest Cost (Rs. Cr)	63	63	51	RISING
Gross Debt (Rs. Cr)	1,744 (FY26)	N/A	1,522 (FY25)	RISING

C5 — Margin Drivers (Q4 FY26 vs Q4 FY25)

Driver	Impact (bps)	Recurring?	Comment
Higher OFC Export Mix	+500 to +700 bps est.	YES	Export OFC carries significantly higher gross margins than domestic EPC. Shift from 4.5% to 41.4% export mix is a structural recurring driver.
Revenue Operating Leverage	+300 to +400 bps est.	YES	Revenue jumped to Rs. 1,824 Cr (128% YoY); fixed cost base relatively stable. High operating leverage on Rs. 1,800+ Cr quarterly run-rate.
Favourable Product Mix (Equip > EPC)	+200 to +300 bps est.	YES	Networking and defence equipment carry better margins than EPC-style project work. Intentional strategic shift.
Tax Rate Benefit (19% vs 25%)	~150 bps PAT impact	NO	19% tax rate in Q4 FY26 reflects deferred tax credits. Normalised tax rate ~25% — underlying clean PAT ~Rs. 170 Cr.
Rising Interest Cost (Rs. 63 Cr/qtr)	-100 to -150 bps	YES	Gross debt Rs. 1,744 Cr in FY26. Interest climbing as export order inventory build requires working capital debt.

C6 — Guidance & Forward Signals

Metric	Prior Guidance	New/Reiterated	Delta	Credibility
FY27 Revenue (Rs. Cr) [GUIDANCE]	Rs. 6,000-7,000 Cr range (market estimates)	Management declined to give specific number; directionally Rs. 6,500-8,000 Cr implied by order book	NEUTRAL	MEDIUM
EBITDA Margin Improvement [GUIDANCE]	N/A	+3% to +4% margin improvement guided for FY27	RAISED	HIGH
Defence Revenue FY27 [GUIDANCE]	Rs. 200-300 Cr (prior year guidance)	Rs. 500-600 Cr guided for FY27E	RAISED	LOW-MEDIUM
Export Revenue Mix [GUIDANCE]	40%+ for FY26	50%+ targeted for FY27	RAISED	HIGH
Preform Plant Capex [GUIDANCE]	Under evaluation	Rs. 580 Cr investment confirmed; 2-3 year timeline	CONFIRMED	HIGH
Dividend [GUIDANCE]	Rs. 0.10/share (FY25)	Rs. 0.20/share announced for FY26 (doubled)	RAISED	HIGH

C7 — Capital Allocation

Item	Amount (Rs. Cr)	vs FY25	Comment
Capex (Fixed Assets addition)	~765 (net FA FY26-FY25 + DA)	Higher	FA jumped from Rs. 852 Cr to Rs. 1,617 Cr in FY26 — significant manufacturing capacity addition. CWIP dropped from Rs. 602 Cr to Rs. 85 Cr (commissioned).
Preform Plant Capex (committed)	Rs. 580 Cr over 2-3 years	New	To be funded via a mix of internal accruals, debt, and potential equity. Key long-term margin lever.
Dividend Payout	~30-33 Cr (Rs. 0.20 x 153 Cr shares)	Higher	Doubled from Rs. 0.10 in FY25 to Rs. 0.20 in FY26 — modest absolute amount reflecting priority on reinvestment.
Net Debt Movement	+222 Cr (991 to 1,744 Cr Borrow.)	Rising	Debt increase largely for working capital and capex. Management needs to demonstrate FCF improvement in FY27 to avoid balance sheet concerns.
Working Capital Change	Adverse (OCF -378 Cr in FY26)	Worsened	Large inventory build for export orders. CFO turned negative in FY26. CCC at 210 days — structural drag requiring monitoring.

C8 — Q&A; Heat Map

#	Question	Mgmt Answer	Tone
1	What is the specific FY27 revenue guidance given the Rs. 21,206 Cr order book? (Aman Saifi)	"I would not like to give such guidance at this point in time." Nahata added that 3-4% margin improvement is expected and export mix >50% targeted.	Hedged
2	How will the \$1.1 billion export OFC order be executed — is it a firm order? Timeline?	Confirmed as a firm multi-year contract. Execution to commence by end of Q1 FY27. Specific customer undisclosed. Company has the capacity to deliver.	Transparent

#	Question	Mgmt Answer	Tone
3	How realistic is the Rs. 500-600 Cr defence revenue for FY27 — where are the specific orders?	Pipeline Rs. 4,000+ Cr. AP ammunition plant construction underway. MOD relationships established. Specific orders to be disclosed as awarded.	Hedged
4	Working capital CCC at 210 days — is this sustainable? When does FCF normalise?	Management acknowledged working capital intensity but indicated CCC will improve as export order executes (faster realisation from global customers vs. BharatNet).	Transparent
5	Promoter holding has dropped to 28.3% — is there more dilution planned?	Management referenced the EGM for Rs. 175 Cr acquisition funding via warrants. Acknowledged dilution but maintained growth capital is being put to productive use.	Hedged
6	What is the status of the optical fibre preform plant — timeline and expected margin benefit?	Rs. 580 Cr committed. Site selected. 2-3 year timeline. Expected to reduce raw material cost by ~200-300 bps at the OFC gross margin level.	Transparent

Dodged Questions to Watch Next Quarter: (1) Specific FY27 revenue and PAT guidance; (2) Name of the \$1.1 billion export OFC customer; (3) Whether promoter dilution pace will slow; (4) Concrete defence order pipeline with specific MOD contract numbers.

C9 — Risks Flagged on Call				
Risk	Flagged By	Probability	Impact	Timeline
Working capital / FCF deterioration	Analyst Q&A;	HIGH	MEDIUM	Q1-Q2 FY27
Defence execution vs. Rs. 500 Cr guidance	Analyst Q&A;	HIGH	MEDIUM	FY27
Export OFC order execution risk	Management (indirectly)	MEDIUM	HIGH	Q1-Q3 FY27
Promoter dilution via warrant/equity issuance	Analyst Q&A;	HIGH	MEDIUM	Near-term
BharatNet Phase III timeline slippage	Industry context	MEDIUM	MEDIUM	FY27-28

C10 — Analyst Verdict		
Factor	Status	Notes
Revenue Visibility	INTACT	Rs. 21,206 Cr order book = 4x FY26 revenue. \$1.1 Bn export order commencing Q1 FY27. Strongest ever visibility.
Margin Trajectory	INTACT	Recovery from 11% (FY25) to 15% (FY26). Guided +3-4% for FY27. Export mix, operating leverage, and preform integration are structural drivers.
Capital Allocation Quality	WATCH	Capex cycle justified but FCF = Rs. -723 Cr in FY26. Continuous equity dilution is a negative. Watch FY27 FCF normalisation.
Competitive Moat	INTACT	Largest OFC supplier in India. PLI-backed scale. Export relationships being established. Defence: nascent but promising.
Management Credibility	WATCH	Strong vision; cautious on specific guidance (good). But promoter dilution trend and ambitious defence guidance (Rs. 500-600 Cr) need delivery to maintain credibility.
Valuation Comfort	WATCH	69.1x FY26A P/E appears elevated. On FY27E P/E of 44x and FY28E P/E of 32x with 30%+ earnings CAGR, valuation is fair-to-attractive. Not a screaming bargain.

CONVICTION CALL	VALUATION SNAPSHOT
INCREASED — Q4 FY26 was the proof-of-concept quarter for the transformation thesis. The order book, export execution, and Q4 revenue ramp validate the bull case. Key remaining proof point: Rs. 500 Cr+ defence revenue in FY27 and positive FCF.	P/E (FY26A): 69.1x P/E (FY27E): 44.1x P/E (FY28E): 32.0x EV/EBITDA (FY26A): ~30x 5Y Avg ROCE: ~12% CMP: Rs. 141 Target: Rs. 185 Upside: +31%